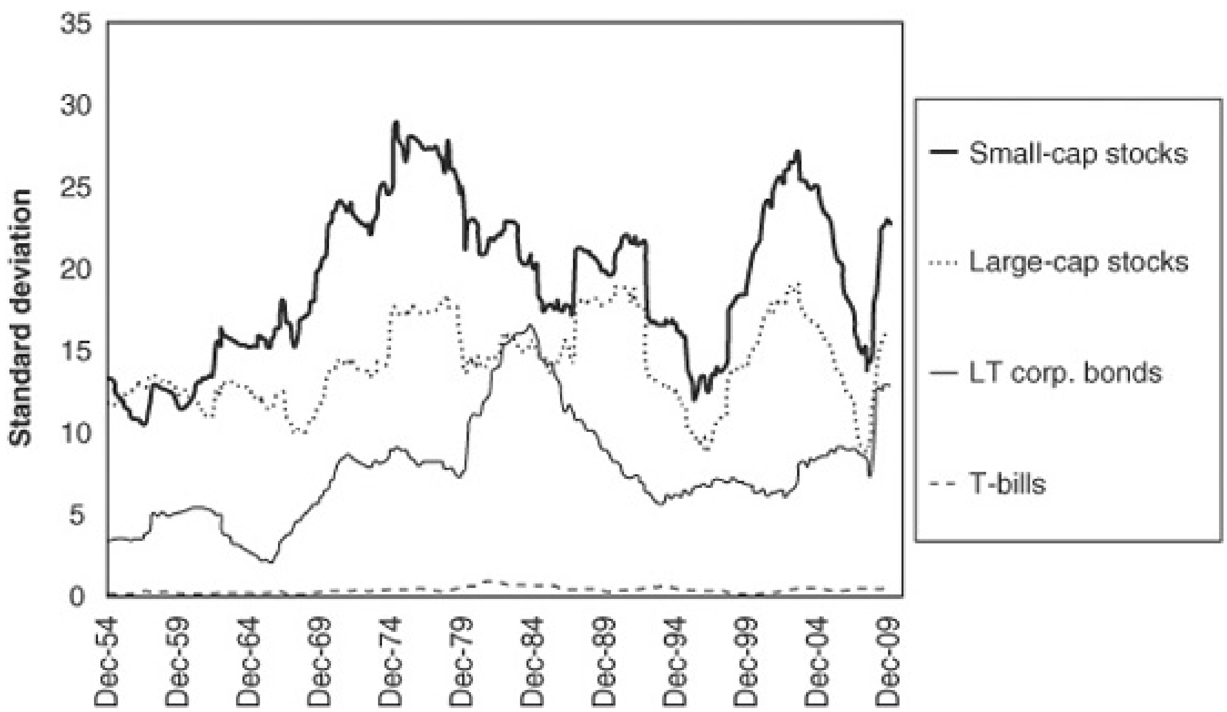
Small stocks have had the highest amount of variation over the years, followed by large stocks, corporate bonds, and Treasury bills.

A jump in volatility tends to be associated with falling returns for that asset class, and lower volatility is associated with higher returns. The fall in stock volatility during the 1980s and 1990s occurred during one of the longest bull markets in history. Stock volatility increased rapidly during the bear stock market of 2008 and early 2009, and the increase in corporate bond volatility was also noteworthy as bond prices fell.

The range of volatility in an asset class varies considerably, although it does tend to stay in a range for each asset class. For example, in Figure 2-4, the average standard deviation of small stocks averages 20 percent, plus or minus 8 percent over any decade. The average standard deviation of large stocks is about 15 percent, plus or minus 5 percent over any decade. The average standard deviation of long-term corporate bonds is about 8 percent, plus or minus 3 percent, and T-bills had a standard deviation of about 0.2 percent on average, plus or minus about 0.2 percent.

FIGURE 2-4

Rolling 60-Month Volatility of Various Asset Classes



What is noteworthy about Figure 2-4 is the consistency in the order of asset-class volatility. With stocks and bonds, the order of volatility in asset